

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 15-04

CROCUS INVESTMENTS, LLC AND CROCUS, FZE,

— vs. —

**MARINE TRANSPORT LOGISTICS, INC. AND ALEKSANDR SOLOVYEV
a/k/a ROYAL FINANCE GROUP INC.**

COMPLAINANTS' ADDITIONAL PROPOSED FINDINGS OF FACT and BRIEF

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Complainants hereby submit the following Additional Proposed Findings of Fact, Brief and Appendix.

ADDITIONAL PROPOSED FINDINGS OF FACT

1. FF# 28 should be revised to read as follows: At times, Solovyev/Car Express acts as agent for MTL. (CX 024 (Email dated October 31, 2013, from Solovyev to Complainants).)
2. FF# 29 should be revised to read as follows: Safonov engaged Solovyev to perform services for Safonov to purchase used boats in the United States and ship the boats to Dubai for repair and resale. (RX 63 (Dep. of Safonov 28:21-23).)
3. FF# 35 should be revised to read as follows: Respondent, Solovyev *testified* during his deposition that: RFG's alleged purpose was to advance payments on behalf of the foreign Complainants to Co-Part (a U.S. auction site), and to other companies (e.g. MTL, Car Express, inland trucking companies) and that this was done as a convenience to Complainants so that Complainants would only need to make a single "lump sum" wire-transfer payment to RFG and, accordingly, could avoid paying the fees associated with sending multiple wire transfers. In this way, Complainants would also avoid incurring penalties for late payment to the auction site, which could occur if there are delays with the foreign wire transfers. (*See* Dep. Tr. of [Aleksandr] Solovyev, at 46:8-14).
4. FF# 36 should be revised to read as follows: Solovyev through Royal Finance Group Inc. issued invoices for shipping to Complainants. (RX 41 (Dep. of Aleksandr Solovyev 54:19-55:10); Closing Argument Transcript 37-39).)
5. FF# 37 should be revised to read as follows: With respect to complainants' Formula, Solovyev through RFG forwarded payments for MTL's shipping services to MTL. (Resp. Comp. Prop. FF 5.)
6. With respect to complainants' Monterey and Chaparral, Solovyev through RFG did not forward payments he had collected from Complainants for MTL's shipping services to MTL. (*See*, explanation *infra*).
7. MTL charged a commission for arranging the shipping of complainants' cargo with the ocean liner. Solovyev testified that he did not know how much commission was charged (RX41 - Deposition of Solovyev 54:11-18).
8. FF# 88 should be revised to read as follows: RFG paid MTL the sum of \$8,400 by check number 5135 on August 15, 2013 for loading and shipping the Formula to Dubai. (*See*, Appendix "A").
9. FF# 90 should be revised to read as follows: after having purchased the Formula on August 7, 2013 (FF# 74) and after having waited six months for respondents to ship the Formula, which

they ultimately did not do, Safonov decided that he did not want to deal with "crooks," and on February 14, 2014 Complainants instructed Solovyev to ship the Formula to Miami. (RX 72 (Dep. of Safonov 65:3-6). *See also*, explanation, *infra*.)

10. Car Express never obtained a Certificate of title for the Formula. (DMV Response to Freedom of Information Law Request, annexed hereto as Appendix "B").
11. There is no record of respondents having produced a Certificate of Title for the trailer for the Formula. (See, explanation *infra*).
12. On February 14, 2014, WEC issued Invoice 50677-1 for the Formula to MTL (for storage fees starting on August 12, 2013 and ending on February 14, 2014 in the amount \$19,587.66 plus unloading in the amount \$550.00, for a total of 20,137.66 (RESP 012) (*See also*, Appendix "C"). This invoice was paid by MTL on February 18, 2014 (Resp.Comp.Prop. FF 31).

ARGUMENT

As explained below, the documents annexed to the accompanying Appendix establish that:

(1) RFG advanced payments on behalf of complainants with respect to the Formula and paid MTL the sum of \$8,400 on August 15, 2013 for shipping the subject Formula to Dubai, thus establishing that a contract of carriage existed for the ocean carriage of said boat; (2) when MTL received the Formula at its facility at the port of New Jersey, it did so in contemplation of export inasmuch as MTL had already paid WEC the sum of \$550.00 on February 18, 2014 for unloading, as well as storage fees starting on August 12, 2013 and ending on February 14, 2014 (a period of 186 days) in the amount \$19,587.66; and (3) that RFG operated as an Ocean Transportation Intermediary without a license and without providing proof of financial responsibility to the Commission when it issued invoices and collected payment for ocean freight with respect to the Monterey and Chaparral.

With specific regard to the Presiding Officer's finding of fact (FF# 90) already set forth in the ID regarding complainants' ultimate decision to ship the Formula to Miami, the Commission is respectfully asked to consider the issue of how long were complainants reasonably expected to wait for respondents to actually ship the Formula to Dubai prior to coming to the conclusion that

respondents were “crooks” and instructing Solovyev to ship the Formula to Miami. This issue is of particular note in that the Initial Decision of June 17, 2016 (the “ID”) concludes that “...an agreement to transport the Formula from New Jersey to Florida is not an agreement to "provide transportation by water of ... cargo between the United States and a foreign country.”

In essence, the ID effectively rewarded respondents for failing to perform their duties due to the fact that the ID ignores that respondents took possession, custody, and control of the Formula and then kept the boat in their warehouse for six (6) months (to wit: 186 days) on the alleged basis that the Formula needed a suitable trailer for transporting it by sea (which respondents failed to procure despite having twice collected monies from complainants for the purchase of the trailer), even though MTL received the sum of \$8,400.00 for shipping the subject Formula to Dubai.

Subsequent to the issuance of the ID, it was also ascertained that Solovyev/Car Express (which the Presiding officer found to be acting as “agent” for MTL) never obtained a Certificate of Title for the Formula from the auto auction warehouse where the boat was purchased (known as “Copart”) nor did he obtain title to a trailer for the Formula, thus creating a situation where the Formula together with the trailer could not be exported due to the fact that U.S. Customs and Border Protection (“CBP”) requires a certificate of title to be presented to them at the time of export. Specifically, and as explained below, the New York State Department of Motor Vehicles (“DMV”) Salvage Certificate for the Formula produced by respondents during discovery, is fake and does not match with DMV records.

I. COMPLAINANTS HAVE PROVEN THAT RESPONDENTS VIOLATED SECTION 41102(c) OF THE SHIPPING ACT

As set forth below, and with respect to the Formula, the newly discovered facts establish that the Formula was placed into the custody and control of Solovyev/MTL *solely* for purposes of export to Dubai and that RFG paid MTL the sum of \$8,400 for shipping the subject Formula to Dubai, thus establishing that a contract of carriage existed for the ocean carriage of said boat.

This constitutes new and material evidence with respect to respondents' violations of the Shipping Act and the newly discovered facts also establish that when MTL received the Formula at its facility at the port of New Jersey, it did so in contemplation of export inasmuch as MTL had by that time paid WEC for unloading, as well as storage fees.

As further set forth below, respondents violated Section 41102(c) of the Shipping Act when they collected monies for services related to export of the Formula, such as the procuring of a boat trailer and preparation of shipping documentation, and when MTL received monies for the ocean transport of the boat, but ultimately failed to deliver the boat to Dubai.

A 'Contract of Carriage' Existed For the Transport of the Formula

In the first instance, while the Commission is already aware that respondents charged complainants \$500 for the preparation of "Shipping Documents" as admitted to by respondents in paragraph "18" of their Answer to the Complaint, what was not known at the time that the ID was issued (due to respondents having secreted this information) is that RFG paid MTL the sum of \$8,400 by check number 5135 on August 15, 2013 for loading and shipping the Formula to Dubai¹. A copy of this check, (annexed hereto as Appendix "A") was produced in response to a subpoena

¹ The Commission is also respectfully asked to note that RFG's payment of \$8,400 to MTL for loading and shipping the Formula to Dubai, was made only one day after RFG paid for the delivery of the Formula from the Copart auto auction site to MTL's facility at the port of New Jersey. Specifically, RFG paid Light House Transport the sum of \$2,230.00 via check number 5133 on August 14, 2013 (see Appendix "D", bates no. DEF0683). The Commission is also asked to note that while RFG paid Light House Transport the sum of \$2,230.00 for delivery, it invoiced complainants \$3,500 for the delivery.

issued to Citibank in an ongoing Federal litigation involving the parties herein in the U.S. Court for the District of New Jersey, captioned as *World Express & Connection, Inc. v. Crocus Investments, LLC et al.* U.S.D.C. -- D.N.J. Docket No.: 2:15-cv-08126-KM-MAH, wherein the respondents are named as third-party defendants.

The check indicates that monies were actually paid to respondent Marine Transport Logistic, Inc. (“MTL”) by RFG for the ocean transport of the Formula, and that MTL accepted said monies, thus establishing that it had indeed assumed responsibility for the ocean carriage of the boat (originally destined for Dubai, but never made it there due to respondents’ fraudulent activity after they had assumed possession, custody and control over the boat). The check was not part of the record in this matter when the Presiding Officer issued the Initial Decision due to respondents’ failure to produce it.

As the Commission is already aware, FF# 78 indicates that on August 7, 2013, RFG sent invoice 1189AT to Andrey Tretyakov², which listed a charge of \$12,000 for loading/shipping the Formula to Dubai. The check itself indicates that RFG paid MTL the sum of \$8,400 by check number 5135 on August 15, 2013 (see Appendix “A”) and that the Memo line on the check reads as follows: “Andrey/Dubai”³. The disclosure of this check would have had a material impact on the Presiding Officer’s determination that no contract of carriage existed for the ocean transport of the Formula.

² Middle East Asia employed Andrey Tretyakov (Tretyakov) as an associate in Dubai. (RX 61) (Dep. Of Safonov 18:21-23); Resp. Comp. Prop. FF 2.) See, FF# 9.

³ The notation in the Memo Line also corresponds with the designation set forth on RFG Invoice 1189AT for this shipment. The invoice is addressed to Andrey Tretyakov and the description of services in the invoice includes “LOADING/SHIPPING TO DUBAI”. See, FF# 78-79. The check for \$8,400.00 to MTL states in the Memo Line “Andrey/Dubai”. The invoice was issued for ocean transportation services offered by MTL, the offer was accepted, and consideration in the amount of \$8,400 was paid. -- This is further evidence of MTL’s knowledge of the existence of a contract of carriage.

Additionally, when MTL received the Formula at its facility at the port of New Jersey, it did so in contemplation of export inasmuch as MTL paid WEC the sum of \$550.00 on February 18, 2014, for unloading, as well as storage fees starting on August 12, 2013 and ending on February 14, 2014 (a period of 186 days) in the amount \$19,587.66. Specifically, on February 15, 2014, WEC issued Invoice 50677-1 for the Formula to MTL (for storage fees starting on August 12, 2013 and ending on February 14, 2014 in the amount \$19,587.66 plus unloading in the amount \$550.00, for a total of 20,137.66 (See, Appendix “C”) (RESP 012). This invoice was paid by MTL on February 18, 2014 (Resp.Comp.Prop. FF 31), and after MTL was paid by RFG for the ocean freight for the export of the boat.

In support of its decision to deny complainants’ first Petition to Reopen the Proceedings, the Commission noted, on page “14” of its Memorandum Opinion and Order of March 6, 2017 as follows:

“As to Complainants’ claims regarding intended transport of the Formula, they argue that the proffered evidence will show that it was “placed into the custody and control of Solovyev/MTL solely for purposes of export.”...What they fail to show, however, is that the parties actually entered into a contract to transport the Formula to Dubai or any other foreign destination...And while Complainants assert that the parties intended to transport the Formula to Dubai, they have not identified evidence proving the parties actually had a contract to that effect...Proof of a contract requires evidence showing that an offer was extended and accepted and that consideration changed hands. See, Vinmar Inc. v. China Ocean Shipping Co., 26 S.R.R. 420, 423 (FMC 1992) (citing contract law). Complainants have not identified evidence proving those required elements were met.”

The Presiding Officer similarly found the ‘consideration’ described above to be lacking, explaining on p. 26 of the ID as follows:

“Complainants never paid the \$12,000 for loading and shipping the Formula to Dubai...[t]herefore, Complainants and Respondents (MTL, Solovyev, or any of Solovyev's companies) never entered into an agreement to transport the Formula by water from the United States to a foreign port.”

With specific regard to the Presiding Officer's legal conclusions set forth above, the Commission is respectfully asked to consider the following:

- (1) If a third-party (to wit: RFG) made payment on behalf of complainants to MTL for loading and/or ocean freight, does this constitute the consideration necessary to establish the existence of a contract of carriage?
- (2) Does the fact that MTL paid WEC for the unloading and storage fees allegedly incurred for the Formula (after MTL was paid by RFG for the ocean freight for the export of the boat) establish that MTL had received the Formula in its custody in contemplation for export?

It is respectfully submitted that the bank records, which contain proof that MTL was paid by RFG for the ocean freight for the transport of the Formula, constitute the very 'consideration' which the Presiding Officer found lacking for purposes of establishing that a 'contract of carriage' existed for the transport of the Formula. It is additionally respectfully submitted that the fact that RFG (rather than someone else) paid the monies to MTL for ocean freight on behalf of complainants is of no consequence to the extent that the Presiding Officer explained that RFG's purpose was to advance monies on behalf of complainants to various companies as a convenience for complainants, who would then only need to make a "lump sum" payment wire transfer to RFG - - this way, complainants could avoid paying fees associated with multiple wire transfers:

“[RFG] advanced payments on behalf of the foreign Complainants to Co-Part (a U.S. auction site), and to other companies (e.g. MTL, Car Express, inland trucking companies). This was done as a convenience to Complainants so that Complainants would only need to make a single "lump sum" wire-transfer payment to RFG and, accordingly, could avoid paying the fees associated with sending multiple wire transfers. In this way, Complainants would also avoid incurring penalties for late payment to the auction site, which could occur if there are delays with the foreign wire transfers. (See Dep. Tr. of [Aleksandr] Solovyev, at 45:17- 47:25). RFG, in turn, charged a commission to Complainants for its services. (See Dep. Tr. of [Aleksandr] Solovyev, at 46:8-14).” See, Initial Decision of June 17, 2016, pp. 12-13, FF# 35.

It is also well settled that the source of the consideration in a contract is irrelevant, so long as the contract is sufficiently supported by consideration. See, e.g., Young v. Nissan Motor Corp. in U.S.A., 964 F. Supp. 1350 (W.D. Mo. 1997), *aff'd sub nom. Young v. Nissan Motor Corp., U.S.A.*, 149 F.3d 1189 (8th Cir. 1998); Hyman v. Ford Motor Co., 142 F. Supp. 2d 735, 741 (D.S.C. 2001) (it matters not from whom the consideration moves or to whom it goes, if it is bargained for and given in exchange for the promise, the promise is not gratuitous).

For other scenarios where this legal principle has been applied, see, In re Rolfe, 710 F.2d 1, 2 (1st Cir.1983) (finding adequate consideration when consideration for mortgage flowed to debtor's corporation rather than debtor); Republic Ins. Co. v. DiNardo Auto Sales, Inc., 44 Conn.Supp. 207, 678 A.2d 516, 522 (1995), *aff'd* 41 Conn.App. 686, 677 A.2d 21 (1996) (citing Section 71(4) of the Restatement [Second] of Contracts, the court found adequate consideration, stating “that a party other than the defendant may have been the direct beneficiary of the plaintiff's promise and its performance is of no moment”); New Bedford Instit, for Savings v. Gildroy, 36 Mass.App.Ct. 647, 634 N.E.2d 920, 927 (1994) (“It is well established in our law that the physical movement of consideration—whether from promisee directly to promisor, from promisor to a third party at the promisee's direction, or from a third person at the promisor's direction—is irrelevant, so long as the promisee incurs a detriment or the promisor receives a benefit.”); Morgan v. Bangersville State Bank, 585 N.E.2d 306, 307 (1992) (the consideration necessary to support a contract need not be given to the promisor; it may be given to another party); Mid–America Real Estate & Investment Corp. v. Lund, 353 N.W.2d 286, 289 (N.D.1984) (it is not essential that the consideration flow directly to the promisor, and the promise is enforceable if there is a benefit or advantage to the promisor, or some loss or detriment to the promisee).

As explained by the Presiding Officer, proof of a contract requires evidence showing that an offer was extended and accepted and that consideration changed hands. See, Vinmar Inc. v. China Ocean Shipping Co., 26 S.R.R. 420, 423 (FMC 1992).

For the reasons set forth herein, the record now demonstrates that respondents took possession, custody, and control of the Formula for purposes of exporting it to Dubai due to the fact that WEC invoiced MTL for unloading and for storage of the Formula and that MTL paid said invoice *after* MTL received monies from RFG for the ocean freight related to the export of the boat. Specifically, on August 7, 2013 RFG invoiced the sum of \$12,000 for loading/shipping the Formula to Dubai by invoice 1189AT, as well as \$500 for the preparation of “Shipping Documents”. Subsequent to the issuance of the invoice, RFG paid MTL the sum of \$8,400 by check number 5135, and that the Memo line on the check reads as follows: “Andrey/Dubai”.

Accordingly, and pursuant to Vinmar, *supra* and other legal precedent cited above, complainants respectfully submit that a ‘contract of carriage’ existed for the transport of the Formula.

Respondents’ Violations of Section 41102(c) of the Shipping Act

As explained below, the reason that the boat remained in storage is that it was waiting for a trailer for purposes of export, and that respondents assumed responsibility to procure the trailer. It was only *after* the boat sat in storage *for approximately four months*,^{4 5} that Solovyev, *for the first time*,⁶ purported that the boat could not be exported unless a trailer was secured for it, and

⁴ The Presiding Officer states that “In November 2013 Solovyev told Safonov he found a trailer for the Formula but Safonov did not like the trailer” (See, ID at p. 17, ¶ 83).

⁵ The record shows that complainants waited another two months before coming to the conclusion that respondents’ were “crooks” and instructing them to ship the Formula to Miami.

⁶ Safonov testified during his deposition that Solovyev “initially” found a trailer in November which Safonov did not like (See, Deposition Testimony of Alexander Safonov, dated December 3, 2015, p. 64/ln. 16-20, annexed to Respondents Proposed Findings of Fact and appendix as page “RX72”)

notwithstanding that Solovyev collected monies for the trailer months prior, he charged complainants a *second* time for the trailer which was ultimately never provided.

The record demonstrates that Solovyev never procured a title for the Formula, nor did he procure title for the *trailer* for the Formula, even though he represented to complainants that he had purchased one, thus creating a situation where the Formula together with trailer could not be exported due to the fact that U.S. Customs and Border Protection (“CBP”) requires a certificate’s of title to be presented to them at the time of export.

Complainants further respectfully submit that Solovyev’s purpose in acting in this manner and failing to provide a trailer was twofold: (1) to allow him to keep the Formula in his custody and control as “security” or “collateral” until such time that the complainants were able to sell the Mercedes and Porsche that Soloveyv shipped to complainants’ facility in Dubai, and then send Solovyev the proceeds of said sale (see, ID at p. 6 and FF#’s 101-102)⁷; and (2) to allow Solovyev to be in a position where he could “jack up” storage fees and ultimately refuse to release the boat unless complainants agreed to pay storage charges in an amount approximately equal to the value of the boat.

Solvyev/Car Express as Agent of MTL Breached His Duties to Complainants by Failing to Obtain a Title for the Formula and for the Trailer

Respondent Solovyev’s unlawful actions fall within the jurisdiction of the Commission in that as set forth below, Solovyev was acting in the capacity of agent of MTL with respect to the 2010 Formula 34 PC boat. During the course of carrying out his responsibilities, he breached his duty (including the duty of good faith and fair dealing) to the complainants, resulting in his violation of the Shipping Act.

⁷ See also, Deposition Transcript of Alexander Safonov dated December 3, 2015, annexed to Respondents' Appendix (Document Number 15 on the Docket) on page "RX73", Transcript pages: p. 66/ 1n. 13- 25; p. 67/ 1n. 1- 3.

The Commission may be familiar with the New York State Department of Motor Vehicles Salvage Certificate for the Formula, which was produced by respondents during the course of discovery herein (marked as RESP 027), a copy of which is annexed hereto for the Commission's convenience as Appendix "E". Said certificate lists Car Express as the purchaser and is signed by Solovyev, and also indicates that the Formula was acquired from VW Parts, Inc. The certificate is dated April 28, 2015.

In the matter of World Express, *supra*, Car Express was served with a series of interrogatories, to which they responded on June 14, 2017. Said interrogatories inquired, *inter alia*, whether Car Express purchased the Formula from VW Parts Inc. on April 28, 2015. In response to this question, Car Express answered in the negative. (See, Appendix "F" at interrogatory # 11). This information was not part of the record at the time that the Initial Decision was issued in this matter.

Additionally, on July 24, 2017 the New York State Department of Motor Vehicles responded to a request pursuant to the Freedom of Information Law ("FOIL") for records of Car Express inasmuch as it was a licensed automobile dealer. A copy of the DMV's FOIL response is annexed hereto which indicates that in the Abstract of Title Record for the Formula, the last registrant of the boat was listed as "Christopher J. Leahy" and that the registration expired on "4/13" (see, page Bates no.: DEF0499, Appendix "B"). No further title was issued for the boat as can be seen on page bates numbered DEF0501, which states as follows: "NO TITLE ISSUED – CONTACT TITLE BUREAU AT 518-486-4714 TO VERIFY OWNER INFO". This information was also not part of the record at the time that the Initial Decision was issued in this matter.

The foregoing is being provided as one of many examples of respondents having provided fabricated documents (such as the Salvage Certificate of Title) for use in these proceedings and upon which the ID was based. It is respectfully submitted that the recent DMV FOIL response and Car Express' recent admission (as agent of MTL) that it never purchased the Formula from VW Parts Inc. constitutes new and material evidence with respect to respondents' violations of the Shipping Act.

Respondents' failure to obtain the requisite titles created a situation where the Formula together with trailer could not be exported due to the fact that U.S. Customs and Border Protection ("CBP") requires a certificate of title to be presented to them at the time of export. The Commission may already be familiar with this issue inasmuch as it was discussed briefly in the matter of Samir Abusetta d/b/a Sammy's Auto Sales v. JAX Auto Shipping Inc. and Marine Transport Logistics Inc., FMC Informal Docket No.: 1932(I) wherein complainant alleged that respondents violated 46 U.S.C. § 41102(c) by losing title to his vehicle (see, Order Reversing, In Part, Decision of the Settlement Officer and Issuing Reparations, dated October 18, 2016, at p.2). Specifically, page "4" of the aforementioned Order notes that four of complainant's vehicles "...were not shipped due to a missing car title...".

It is respectfully submitted that similar to the fact pattern set forth in Samir, *supra*, MTL could not load and ship the Formula and trailer without a title. It is further respectfully submitted that the Commission's analysis on the issue of whether JAX operated as an OTI in connection with complainant's shipment is also instructive here with respect to the issue of whether Solovyev/Car Express (as agent for MTL or otherwise) acted as an OTI in the instant matter.

Accordingly, the new evidence establishes that respondents violated §41102 of the Act by collecting monies for services related to the purchase and export of the Formula, such as the

procuring of the boat itself and the boat trailer and preparation of shipping documentation and failed to provide any services. See, Alexandre Kaminski v Keystone Limited, (6/23/93, FMC) Informal Docket No. 1739(I) (shipping company that collected money from customer but failed to provide any services in return violated former 46 USCS Appx § 1709(d)(1)); Corpco International, Inc. v Straightway, Inc., (6/8/98, FMC Docket No. 97-05) (violation of former 46 USCS Appx § 1709(d)(1) may be found where non-vessel-operating common carrier (NVOCC) has agreed to ship cargo and has been paid to do so, but cargo cannot be delivered because NVOCC's agents refuse to issue negotiable bill of lading required to secure delivery).

Soloveyv's Breach of His Breach of His Duty of Good Faith and Fair Dealing

In the first instance, the Commission is further respectfully requested to take note of the admission made by respondents in paragraph "18" of their Answer herein in which respondents admit that on August 13, 2013: "complainant wire transferred \$5000.00 to RFG, which reflected payment of \$4,500 for a trailer upon which the boat would be secured and a \$500 shipping documentation charge."⁸ (The Wire Transfer Notice for the \$5000 is included in complainants' CX 114). Additionally, the \$500 shipping documentation charge collected by Solovyev establishes that *funds were collected for preparation of shipping documentation to send the Formula to Dubai.*

⁸ In order to avoid confusion, paragraphs "15" through "18" of the Complaint in this matter all make reference specifically to the Formula.

While Acting in the Role of OFF, Solovyev Breached His Fiduciary Duty to the Complainants

One of the central issues to this proceeding which the new evidence will serve to better inform the Presiding Officer is whether Solovyev, while acting as an OFF, had a fiduciary duty to the complainants. It is respectfully submitted that this question must be answered in the affirmative. To the extent that Solovyev breached his fiduciary duties to the complainants, the newly discovered facts would aid the Presiding Officer in determining whether or not Solovyev's breach of his duties should be imputed to respondent MTL. It is additionally respectfully submitted that this question must be *also* answered in the affirmative.

Courts have routinely held that “a shipper retains a freight forwarder because of the freight forwarder's expertise in securing the dispatch of cargo to a foreign destination. Because of this expertise and the freight forwarder's greater access to information from NVOCCs and VOCCs, the shipper relies on the freight forwarder's representations regarding the suitability, efficiency, and economy of using certain carriers, the availability of ships, and other matters relating to the shipment. Moreover, because of the shipper's inability to monitor every step in the shipping process, the freight forwarder must often make arrangements for shipment details without express approval for these arrangements from the shipper. The freight forwarder thus exercises considerable control over the transport-related decisions of the shipper.” See, United States v. Ventura, 724 F.2d 305, 310–11 (2d Cir. 1983).

The relationship between a shipper as principal and freight forwarder as agent has been described to be a fiduciary relationship of the “greatest trust and fidelity” where the freight forwarder “has the obligation of trying to obtain for the shipper the cheapest and the most efficient and most economical transportation that he can.” Id. Recognizing the nature of this relationship, courts have described freight forwarders as “agents of the shipper” for the purposes of arranging

cargo transport, United States v. American Union Transport, Inc., 327 U.S. 437, 443, 66 S.Ct. 644, 647, 90 L.Ed. 772 (1946), and as, essentially, “export departments for their shipper clients,” New York Foreign Freight Forwarders and Brokers Ass'n v. Federal Maritime Comm'n, 337 F.2d 289, 292 (2d Cir.1964), *cert. denied*, 380 U.S. 910, 85 S.Ct. 893, 13 L.Ed.2d 797 (1965).

As set forth in detail herein, it is clear that Solovyev was retained by complainants, with whom complainants solely dealt with on an exclusive basis regarding the securing of dispatch of the boats to a foreign port abroad, and also for the return of the subject boats to the U.S. Because of Solovyev's expertise and his access to information from NVOCCs and VOCCs, complainants relied on Solovyev's representations regarding the suitability, efficiency, and economy of using certain carriers, the availability of ships, and other matters relating to the shipment. For example, and as explained in detail herein, complainants relied upon Solovyev's expertise when it came to the requirements for exporting the Formula boat which Solovyev purchased on behalf of complainants and had delivered to his warehouse in preparation for export.

To the extent that Solovyev purported to hold himself out “to the public” to be an “agent” of MTL, it is submitted that any breach of his fiduciary duty would be imputed to MTL as Solovyev's principal. It is well settled that the acts of an agent are imputed to the principal if the principal adopts the unauthorized act of his agent in order to retain a benefit for himself. See, In re S. African Apartheid Litig., 633 F. Supp. 2d 117 (S.D.N.Y. 2009). See, also Apollo Fuel Oil v. United States, 195 F.3d 74 (2d Cir. 1999); (when agent is employed to perform certain duties for his principal and acquires knowledge material to those duties, agent's knowledge is imputed to principal).

Respondents' Inconsistent Statements in Two Different Forums Regarding the Wire of \$4950.00 from Complainants to the Respondents

The newly proposed facts set forth above are also relevant and material to the Presiding Officer's findings of fact (FF#'s 83, 84, and 86) and resultant conclusions regarding the boat trailer for the Formula, which Solovyev claims to have located for complainants and for which complainants wired to respondents the additional sum of \$4950.00. The foregoing establishes that not only did Solovyev receive the funds for the trailer for the Formula in August of 2013 and kept them for over four months without purchasing the trailer, they further establish that Solovyev ***collected funds twice for the trailer***, as explained by the Presiding Officer on page "5" of the Initial Decision, that "[o]n December 4, 2013, Crocus FZE wired \$4,950 to RFG to pay for boat trailer 2005 NTTRL VIN LW95151."

As already explained herein, Solovyev made misrepresentations to Complainants in order to justify keeping the Formula in storage for two reasons: (1) to keep the boat in storage as "security" until the Mercedes and Porsche (shipped to Dubai by respondents) were sold in Dubai and the proceeds of the sales of the vehicles were wired to respondents (the Mercedes and Porsche were discussed briefly in the ID on p. 6); and (2) to justify the excessive storage charges now levied upon complainants by Soloveyv via WEC, which was until August of this year, a licensed NVOCC and OFF (under the exclusive control of Solovyev).

The Commission is respectfully asked to take note of the fact that the dispute regarding the Mercedes and Porsche, as well as respondents' inconsistent statements in two different forums is currently the subject of a proceeding before the Commission captioned as *MAVL Capital, Inc., IAM & AL Group Inc., and Maxim Ostrovskiy v. Marine Transport Logistics, Inc. and Dimitry Alper* (FMC Docket No.: 16-16).

46 CFR §515.31 reads, in relevant part, as follows:

No licensee shall prepare or file or assist in the preparation or filing of any ***claim, affidavit, letter of indemnity, or other paper or document concerning an ocean transportation intermediary transaction which it has reason to believe is false or fraudulent***, nor shall any such licensee knowingly impart to a principal, shipper, common carrier or other person, false information relative to any ocean transportation intermediary transaction. ... (i) Accounting to principal or shipper. Each licensee shall account to its principal(s) or shipper(s) for overpayments, adjustments of charges, reductions in rates, insurance refunds, insurance monies received for claims, proceeds of C.O.D. shipments, drafts, letters of credit, and any other sums due such principal(s) or shipper(s). (Emphasis added).

Annexed hereto as Appendix “G” is the Royal Finance Group Invoice 347110, which respondents have asserted (via their same counsel herein) in a lawsuit pending in the Eastern District of New York (captioned as MAVL Capital Inc. et al. v. Marine Transport Logistics Inc. et al., U.S.D.C. – D.N.J. Docket No.: 1:13-cv-07110-SLT-RLM), was for the sale of the Mercedes SL65 to Middle East Asia Alfa in the amount of \$3,500...” and an email from counsel for respondents explaining that: “The bank statement showing payment for this transaction is for \$4,950, which includes payment of the \$3,500 for the Mercedes SL65 and \$1,450 toward an motorcycle purchase unrelated to this case.”

As set forth above, it has been established that those very same funds were identified herein for the purchase of the boat trailer for the Formula. Respondents’ inconsistent statements in two different forums regarding the purpose of the wire for \$4950.00 demonstrates that Solovyev never had any intention of locating a trailer and in fact never did so. While the Presiding Officer noted, in finding of fact number “84” that “[i]n December 2013, Solovyev found another trailer for the Formula that Safonov found acceptable (RX 72 (Dep. of Safonov 64:20-24))...” this finding of fact was based *solely* upon complainants’ deposition testimony which explained that Solovyev emailed complainants photos of a trailer which complainants found “good or proper” and “suitable”.

Aside from complainants' deposition testimony regarding receipt of photos of the trailer, there is no evidence on the record other than the invoice created by RFG for the purported sale of the trailer to complainants which supports a finding that a trailer was ever purchased by Solovyev. Absent from the record is any purchase invoice from RFG or the other respondents for the purchase of the trailer, proof of payment by respondents to the seller of the trailer, no title or any other documentation that respondents actually purchased same. In light of the fact that respondents now claim in Federal Court that the wire of \$4950.00 was allegedly for the sale of the Mercedes to complainants, this information may have a material impact on the Presiding Officer's decision that Solovyev did not violate the Shipping Act.

The Commission is additionally respectfully urged to take note of the deposition testimony of complainants via Alexander Safonov on the issue of respondent Solovyev's intent to keep the Formula in storage under respondents' sole exclusive custody and control so that it would serve as "security" until the Porsche and Mercedes were sold:

- Q. After February 2014, did you speak with Andrey or anybody else at Middle East about the Formula?
- A. Yes, with Andrey.
- Q. Do you remember when you had the communication with Andrey?
- A. I spoke with him almost every day.
- Q. Do you remember what the substance or the details of your communications with Andrey were regarding the Formula?
- A. At first, I asked Andrey why Mr. Solovyev does not respond on my request - letter request - to ship Formula to Miami. Andrey told me that Solovyev is going not to respond, or be quiet and ignore your request until we sell two cars that belong to Solovyev, Porsche and Mercedes.

(See, Footnote "7" above.)

Accordingly, the introduction of the subpoenaed bank records and checks will permit consideration of facts pertaining to respondents' Shipping Act violations for the reasons set forth above.

II. COMPLAINANTS HAVE PROVEN THAT RFG OPERATED AS AN OCEAN TRANSPORTATION INTERMEDIARY WITHOUT A VALID LICENSE

These additional facts have a material impact on the section of the ID in which the Presiding Officer had found that RFG did not operate as an ocean transportation intermediary without a valid license and that RFG, together with MTL and Solovyev, allegedly did not violate the Shipping Act with respect to the transportation of the Monterey and Chaparral to Dubai.

The Bank Records Establish that RFG Collected Payment without Forwarding Said Monies to MTL for the Ocean Transportation of the Monterey and Chaparral, Without A Tariff, and Without Providing Proof of Financial Responsibility to the Commission

In the first instance, it is undisputed that RFG issued invoices for ocean freight, loading and shipping to Dubai, without a tariff, and without providing proof of financial responsibility to the commission. As such, the Commission is now respectfully asked to consider RFG's collection of payment for ocean freight, and the fact that said monies were never forwarded to anyone with respect to complainants' allegations that RFG operated as an OTI without a license.

The Monterey

During the course of these proceedings, RFG produced a copy of a check written to MTL in the sum of \$3,441.00 (marked as RESP024 and annexed hereto as Appendix "H") which purported to be payment by RFG to MTL for ocean freight for the Monterey, wherein respondents have handwritten the words "Monterey Payment" onto the page which contains the copy of the check. Said check also appears to have the handwritten notation "1011" written into the Memo line (it should be noted that 1011 are the last four digits of the VIN Number for the Monterey).

Respondents' copy of the check was then compared to the true and accurate copy of the very same check produced by Citibank (which is Bates numbered as DEF0681 and annexed hereto as Appendix "I") in response to the subpoena, and which revealed that the Memo line on the true check has a handwritten notation of "83038" (said number having no connection with any of the subject boats) - - this was done in order to create the appearance that RFG had forwarded monies to MTL for the ocean freight for the Monterey. One may ask the rhetorical question of why RFG was so concerned about creating the appearance that it had forwarded payment for the Monterey to MTL.

Additionally, the Commission is respectfully asked to take note of the misconduct of the respondents in failing to correct the false representations made to Commission and complainants with respect to this altered check. MTL was perfectly aware of this information inasmuch as MTL was in possession of its own bank records. MTL deposited this check (payable to MTL) into its own account and knew exactly what was listed on the Memo line of the check (to wit: "83038"), and concealed this information in order to cover RFG's fraudulent representations to the Commission and complainants during the course of discovery.

The Chaparral

With respect to the Chaparral the Commission may be aware that during discovery herein, respondents produced a copy of a check (marked as RESP023) and annexed hereto as Appendix "J" wherein respondents made the handwritten notation "Chaparral Payment" onto the page which contains the copy of the check. Said check has no written notation in the Memo line. A review of all RFG bank records produced by Citibank in response to the subpoena indicates that there are is not a single check in said records which indicates that RFG forwarded monies to anyone with respect to the ocean transport of this boat.

While complainants (and the Presiding Officer for that matter) took respondents at their word that this check was in fact payment related to the ocean transport of the Chaparral, it now appears that *any* representations made by respondents are severely lacking in credibility. The Commission may be familiar with the fallacy in informal logic known as the “argument from ignorance” or *argumentum ad ignorantiam*, wherein one may argue that a proposition is true because it has not yet been proven false, or that a proposition is false because it has not yet been proven true. The Commission may also be familiar with the rebuttal to the ignorance fallacy, wherein it can be argued that the absence of evidence *is not the evidence of absence*.

With respect to the absence of evidence of any payments from RFG to anyone for monies related to the shipment of the Chaparral, while it cannot be argued that the absence of evidence is the evidence of absence of such payments (and thus satisfying complainants’ burden of proof to establish that RFG did not forward monies to anyone), it can, however, be argued that the respondents’ demonstrated pattern of willful and contumacious behavior may warrant sanctions in the form of an adverse inference with respect to the Chaparral.

Courts have commonly considered four (4) factors which should be satisfied for the rule permitting an adverse inference instruction to apply: 1) the evidence in question must be within the party's control; 2) it must appear that there has been actual suppression or withholding of the evidence; 3) the evidence destroyed or withheld was relevant to claims or defenses; and 4) it was reasonably foreseeable that the evidence would later be discoverable. See, e.g., Ogin v. Ahmed, 563 F. Supp. 2d 539, 543 (M.D. Pa. 2008) (citing Mosaid Technologies Inc. v. Samsung Electronics Co., 348 F.Supp.2d 332, 335 [D.N.J.2004]; Brewer v. Quaker State Oil Refining Corp., 72 F.3d 326, 334 [3d Cir.1995]; Scott v. IBM Corp., 196 F.R.D. 233, 248–50 [D.N.J.2000]; Veloso v. Western Bedding Supply Co., 281 F.Supp.2d 743, 746 [D.N.J.2003]).

It is respectfully submitted that: 1) the aforementioned bank records were undoubtedly under respondents' control; 2) there was actual suppression and withholding of the evidence inasmuch as respondents took active steps to withhold the production of the check indicating payment from RFG to MTL for ocean freight for the Formula, as well as respondents' alteration of the check produced with respect to the Monterey to make it appear that RFG advanced monies for the Monterey; 3) the evidence withheld was clearly relevant to complainants' Shipping Act claims, the existence of a contract of carriage, and the Commission's jurisdiction over this matter; and 4) it was reasonably foreseeable that these financial records would be discoverable.

Accordingly, it is respectfully submitted that it would be a prudent exercise of the Commission's discretion to now sanction respondents by way of an adverse inference with respect to the lack of evidence that RFG advanced monies to anyone for the Chaparral.

RFG Operated as an OTI without Being Licensed by the Commission

46 CFR §515.2 reads in relevant part, as follows:

"Freight forwarding services refers to the dispatching of shipments on behalf of others, in order to facilitate shipment by a common carrier, which may include, but are not limited to, the following...

...Handling freight or other monies advanced by shippers, or remitting or advancing freight or other monies or credit in connection with the dispatching of shipments...

...Non-vessel-operating common carrier services refers to the provision of transportation by water of cargo between the United States and a foreign country for compensation without operating the vessels by which the transportation is provided, and may include, but are not limited to, the following...

...Collecting freight monies from shippers and paying common carriers as a shipper on NVOCC's own behalf...

...Ocean freight forwarder (OFF) means a person that...

...Processes the documentation or performs related activities incident to those shipments..."

It is well settled that an ocean freight forwarder prepares documentation and completes any other tasks relating to the movement of the goods. Freight forwarders *must be licensed by the Federal Maritime Commission...* and are strictly regulated...”. See, United States v. Ventura, 724 F.2d 305, 306, 1983 U.S. App. LEXIS 14524, *3-4, 1984 AMC 645 (2d Cir. N.Y. 1983).

As set forth herein, it is undisputed that RFG performed various tasks set forth above with respect to the export of the Monterey and Chaparral from the United States to Dubai when it collected monies from complainants for ocean freight and other related services.

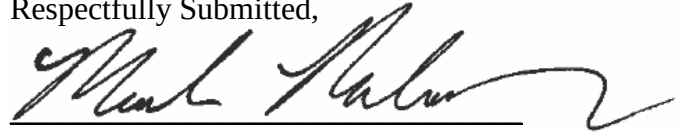
In performing these duties, RFG acted as an OTI with respect to the Monterey and Chaparral as established by the newly discovered facts. Due to the fact that the newly discovered facts further establish that RFG failed to forward said monies to anyone, and simply retained these monies, it is respectfully submitted that RFG violated the Shipping Act by doing so, pursuant to Alexandre Kaminski v Keystone Limited, (6/23/93, FMC) Informal Docket No. 1739(I) (shipping company that collected money from customer but failed to provide any services in return violated former 46 USCS Appx § 1709[d][1]). See, also, Informal Docket No. 1721(I), Jonny and Adriana Bossle v. Keystone Limited, slip decision served March 8, 1993, administratively final April 14, 1993.

CONCLUSION

For all these reasons, together with that which is set forth above, as well as in the Petition to Reopen these Proceedings, complainants respectfully request that the Commission and the Presiding Officer reopen these proceedings for purposes of considering the additional facts and legal argument, and that upon consideration of same, that the Presiding Officer find that complainants have proven beyond a preponderance of the evidence that the respondents violated the Shipping Act.

Dated: September 27, 2017
Brooklyn, New York

Respectfully Submitted,

A handwritten signature in black ink, appearing to read "Marcus A. Nussbaum", written over a horizontal line.

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